Canada Bread Company, Limited
Management's Discussion and Analysis

For the second quarter ended June 30, 2011

As at July 27, 2011

Financial Overview

Sales for the second quarter of 2011 of $406.2 million were consistent with $402.1 million last year. After adjusting for the impacts of the sale of the Company's fresh sandwich product line in February of 2011 and currency translation on U.K. and U.S. sales from a strong Canadian dollar, sales increased 4.4% compared to last year, primarily driven by price increases implemented in the first half of 2011. Sales for the first six months of 2011 decreased to $778.0 million compared to $784.0 million last year. After adjusting for the impact of the sale of the sandwich product line and the impact of a strong Canadian dollar, sales increased 2.2% driven by the same factors noted in the quarter.

Adjusted Operating Earnings for the second quarter increased 14.3% to $35.1 million from $30.7 million in the prior year, as the benefit of price increases and lower manufacturing costs offset higher raw material and other inflationary costs. Lower promotional costs, the benefit from cost reduction initiatives implemented early in 2011, and the sale of the fresh sandwich product line earlier this year also contributed to higher earnings. Adjusted Operating Earnings of $51.8 million in the first six months of 2011 were consistent with $51.4 million last year as better performance in the second quarter of 2011 offset the lower earnings in the first quarter.

Adjusted Earnings per Share for the second quarter increased to $0.97 and $1.53 for the first six months of 2011 compared to $0.85 last year in the second quarter of 2010 and $1.41 in the first half of 2010.

Net earnings in the quarter decreased to $14.9 million ($0.59 basic earnings per share) from net earnings of $20.9 million ($0.82 basic earnings per share) in the second quarter of 2010. Net earnings in the quarter included $12.5 million of pre-tax costs related to restructuring activities (2010: $0.8 million). Year-to-date net earnings were $13.9 million ($0.55 basic earnings per share) compared to $33.9 million ($1.34 basic earnings per share) last year and included $32.6 million pre-tax restructuring costs (2010: $2.5 million).

Note: Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense). Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. Please refer to the section entitled "Non-IFRS Financial Measures" starting on page 7 of this Management's Discussion and Analysis for description and reconciliation of all non-IFRS measures.

Operating Review

The following table summarizes sales by business segment:

(Unaudited)	Second Quarter		Year-to-Date	
($ thousands)	**2011**	2010	**2011**	2010
Fresh Bakery	**$ 282,364**	$ 282,530	**$ 537,449**	$ 539,719
Frozen Bakery	**123,881**	119,532	**240,556**	244,275
Total Sales	**$ 406,245**	$ 402,062	**$ 778,005**	$ 783,994

The following table summarizes Adjusted Operating Earnings by business segment:

(Unaudited)	Second Quarter		Year-to-Date	
($ thousands)	**2011**	2010	**2011**	2010
Fresh Bakery	**$ 33,211**	$ 27,754	**$ 51,196**	$ 48,683
Frozen Bakery	**1,892**	2,957	**631**	2,676
Adjusted Operating Earnings	**$ 35,103**	$ 30,711	**$ 51,827**	$ 51,359

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales for the second quarter of $282.4 million were consistent with $282.5 million last year. After adjusting for the impact of the sale of the Company's fresh sandwich product line, sales increased 4.0% compared to those of the prior year primarily driven by the benefit of price increases implemented in the first half of 2011. Fresh Bakery sales volumes declined as consumers adjust to higher price levels. Similar factors impacted the year-to-date sales of $537.4 million compared to $539.7 million last year. After adjusting for the impact of the sandwich product line divestiture, year-to-date sales increased 2.9%.

Adjusted Operating Earnings in Fresh Bakery for the second quarter increased by 19.7% to $33.2 million compared to $27.8 million last year. During the quarter, moderate margin improvement was driven by the benefit of price increases offsetting higher wheat costs and overall inflationary pressures. Lower promotional costs, the benefit from cost reduction initiatives and the sandwich product line divestiture also contributed to higher earnings. Partly offsetting these benefits was the unfavourable impact of lower sales volumes. Year-to-date Adjusted Operating Earnings increased 5.2% to $51.2 million compared to $48.7 million last year.

The new fresh bakery in Hamilton, Ontario, which is a significant element of the Company's value creation plan, began initial production in July 2011 as planned. Construction and commissioning of this bakery, one of the largest fresh bakeries in North America, is on schedule and on budget. The Company will gradually transfer production from three bakeries in the Greater Toronto Area, which are scheduled for closure between the end of 2011 through to early 2013. The concurrent operation of the new and existing bakeries during this period will result in duplicative overhead costs. These duplicative overhead costs are estimated to be approximately $5.0 million to $8.0 million in the second half of 2011. The Company expects to incur further duplicative overhead costs during 2012 at a lesser level. This estimate is based on the current and projected costs for the existing and new facilities and is provided solely to assist in the understanding of operating performance for that period.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the second quarter increased by 3.6% to $123.9 million from $119.5 million last year. After adjusting for the impact of currency translation on sales in the U.S. and U.K., sales increased 5.2%, predominantly as a result of price increases implemented in the first half of 2011. Sales volumes were slightly higher than those of last year, primarily due to increased sales volumes of bagels in the U.K. following the re-launch of the New York Bakery brand earlier this year. Sales for the first six months of 2011 were slightly lower at $240.6 million compared to $244.3 million last year, as the benefit of price increases implemented in the first half of 2011 was offset by lower sales volumes during the first quarter of 2011.

Adjusted Operating Earnings in Frozen Bakery for the second quarter declined 36.0% to $1.9 million from $3.0 million last year largely driven by higher commodity prices. The frozen bakery business continues to implement price increases to fully offset the impact of higher raw material and other inflationary costs. These impacts were also partly offset by the benefits of increased manufacturing efficiencies and lower costs through the closure of the North American frozen bakery in Laval, Quebec, earlier this year and the consolidation of croissants and morning baked goods production in the U.K. in 2010.

Year-to-date Adjusted Operating Earnings declined to $0.6 million compared to $2.7 million last year, as the business was impacted by higher wheat prices and other inflationary costs, as well as lower sales volumes in the first quarter of 2011.

In the U.K., the Company sold a small-scale bakery in Cumbria in April 2011 and closed a bakery in London in May 2011, with production consolidated into its bakeries in Maidstone and Walsall.

Gross Margin

Gross margin decreased slightly to $84.4 million or 20.8% of sales in the second quarter of 2011, from $85.0 million or 21.1% of sales last year. The small decline in margin reflects the unfavourable impact of overall lower sales volumes.

Year-to-date gross margins decreased to $156.8 million or 20.2% of sales, from $160.1 million or 20.4% of sales in the first six months of 2010, as price increases were not implemented in time to fully offset the rapid rise in commodity costs in the first quarter of 2011.

Selling, General and Administrative Expenses

Selling, general and administrative expenses in the quarter decreased 9.1% to $49.3 million from $54.3 million last year, representing 12.2% and 13.5% of sales respectively. The decrease reflects lower marketing and promotional expenses in the fresh bakery operations. Additionally, lower selling, general and administrative expenses also resulted from the sandwich product line divestiture and the benefit from the change in management structure and related head count reduction initiated in the first quarter of 2011.

Year-to-date selling, general and administrative expenses decreased 3.5% to $105.0 million compared to $108.7 million last year, representing 13.5% and 13.9% of sales respectively.

Restructuring and Other Related Costs

During the six months ended June 30, 2011, the Company recorded restructuring and other related costs of $32.6 million ($24.9 million after-tax).

Of this amount, $12.5 million ($9.7 million after-tax) was recorded in the second quarter. This included $4.6 million in asset write-downs, $3.5 million in lease cancellation costs, and $2.7 million in severance costs related to the sale of, or planned or completed bakery closures in the U.K., and a transition from Company-owned routes to franchisee routes in Atlantic Canada. The balance of charges relate to ongoing costs incurred in connection with previously announced restructuring initiatives.

During the first quarter of 2011, the Company recorded restructuring and other related costs of $20.1 million ($15.1 million after-tax). Of this $11.2 million related to asset write-downs and $2.9 million in severances related to the sale of, or planned or completed plant closures in Laval, Quebec, Delta, British Columbia and Cumbria, U.K. and the sale of the sandwich product line. The Company also recorded $5.8 million in severance costs for initiatives across the Company related to changes in management structure and related head count reductions. The balance of charges relate to ongoing costs incurred in connection with previously announced restructuring initiatives.

During the six months ended June 30, 2010, the Company recorded restructuring and other related costs of $2.5 million ($1.9 million after-tax).

Of this amount, $0.8 million ($0.6 million after-tax) was recorded in the second quarter. These costs related primarily to the restructuring of the specialty baked goods production process in the United Kingdom and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the Company's fresh bakery business.

During the first quarter of 2010, the Company recorded restructuring and other related costs of $1.7 million ($1.3 million after-tax). These costs related primarily to pension costs and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the fresh bakery business. The balance of the charges related primarily to severances in the U.K. resulting from restructuring in the Company's specialty baked goods production process.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at June 30, 2011, all on a pre-tax basis:

(Unaudited) ($ thousands)	Severance	Site Closing	Asset Impairment and Accelerated Depreciation	Pension	Total
Balance at January 1, 2011	**$ 11,228**	**$ 1,456**	**$ —**	**$ 384**	**$ 13,068**
Charges	8,701	49	11,138	162	**20,050**
Cash payments	(1,652)	(12)	—	—	**(1,664)**
Non-cash items	—	—	(11,138)	—	**(11,138)**
Balance at March 31, 2011	**$ 18,277**	**$ 1,493**	**$ —**	**$ 546**	**$ 20,316**
Charges	3,318	3,582	5,245	402	**12,547**
Cash payments	(4,004)	(729)	—	—	**(4,733)**
Non-cash items	—	—	(5,245)	—	**(5,245)**
Balance at June 30, 2011	**$ 17,591**	**$ 4,346**	**$ —**	**$ 948**	**$ 22,885**

Interest Expense

Interest expense for the second quarter decreased to $0.3 million compared to $0.9 million last year. Year-to-date interest expense was $0.6 million compared to $1.9 million last year. The decrease in interest expense is primarily due to amortization of terminated interest rate swaps in the prior period.

Income Taxes

The Company's income tax expense is comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 24.4% (2010: 27.9%) and taxes recoverable on restructuring and other related costs at a rate of 23.8% (2010: 25.1%). The lower tax rate on operating earnings is due to an income tax reduction of $2.4 million associated with tax benefits arising from a prior acquisition in its fresh bakery business that was recorded in the first quarter of 2011.

Acquisitions and Divestitures

On April 11, 2011 the Company completed the sale of a bakery facility in Cumbria, U.K., which resulted in cash restructuring costs of $0.3 million.

On February 18, 2011 the Company completed the sale of substantially all the remaining assets that comprised its sandwich product line to Premium Brands Inc., a Canadian manufacturer of food products, for $8.0 million. The transaction resulted in total restructuring costs of $2.9 million, of which $0.6 million were cash costs, and a gain on sale of $0.9 million. As part of the conversion to IFRS, on January 1, 2010 the Company recognized a goodwill impairment adjustment of $30.2 million.

Other Matters

On July 27, 2011 Canada Bread Company, Limited declared a dividend of $0.20 per share payable on October 3, 2011 to shareholders of record at the close of business on September 9, 2011. Unless indicated otherwise by the Company in writing at or before the time the dividend is paid, these dividends will be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

In the Interim Report to Shareholders dated as at April 27, 2011 for the first quarter ended March 31, 2011, the dividend of $0.20 per share payable on July 4, 2011 to shareholders of record at the close of business on June 10, 2011 was erroneously described as non-eligible for the purposes of the "Enhanced Dividend Tax Credit System". The dividend payable on July 4, 2011 to shareholders of record at the close of business on June 10, 2011 is eligible for the purposes of the "Enhanced Dividend Tax Credit System", as indicated in the Company's press release dated April 28, 2011.

Capital Resources

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding and surplus liquidity.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next twelve months.

As at June 30, 2011, the Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $283.1 million (2010: $269.1 million) and available cash of $20.7 million (2010: $88.9 million). There were $9.7 million in letters of credit outstanding as at June 30, 2011 (2010: $9.1 million).

The Company's principal facility is a $250.0 million revolving term facility with Maple Leaf Foods Inc., which matures on December 27, 2011. The Company will begin negotiations to renew the facility during 2011. This unsecured facility is subject to certain financial covenants. As at June 30, 2011, the Company was in compliance with all of its financial covenants.

To access competitively priced financing, and to further diversify its funding sources, the Company entered into a three-year, committed accounts receivable securitization facility in October 2010. This program replaced the existing accounts receivable financing facility. Under the new facility, the Company sells certain accounts receivable, with limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AAA. The receivables are sold at a discount to face value based on prevailing money market rates. At quarter end, the Company had $110.9 million (2010: $68.1 million under the former facility) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $42.1 million and a note receivable in the amount of $68.8 million.

The securitization facility is subject to certain restrictions and requires the maintenance of certain debt ratios. The Company is in compliance with all of the requirements of the facility during the second quarter of 2011. This facility is accounted for as an off-balance sheet transaction under Canadian GAAP and continues to be accounted for in the same manner under IFRS effective January 1, 2011.

Capital Expenditures

Capital expenditures for the second quarter of 2011 were $34.1 million, compared to $14.6 million last year. The increase in capital expenditures reflects strategic investments related to the Company's value creation plan. A significant portion of these investments was related to the construction of the new fresh bakery in Hamilton, Ontario, which began initial production in July 2011. To date, the Company has spent $72.4 million on this new bakery, and expects total investment to be in line with the initial estimate of approximately $100.0 million.

The Company continued the implementation of a new SAP information system which is replacing and harmonizing the Company's systems across all its businesses. In the second quarter of 2011, the Company completed the implementation of SAP in its fresh bakery manufacturing facilities.

Year-to-date capital expenditures for the first six months of 2011 were $63.6 million compared to $22.1 million last year driven by higher investments related to the Company's value creation plan.

Cash Flow and Financing

Cash balances, net of debt, were $16.7 million at the end of the second quarter, compared to $47.9 million as at March 31, 2011, $72.7 million as at December 31, 2010 and $78.4 million at the end of the second quarter of 2010. The decrease in the cash for the quarter is due to investment in property and equipment.

Cash Flow From Operating Activities

Cash flow from continuing operations for the second quarter was $4.9 million compared to $34.6 million in the second quarter of 2010. The decrease is largely attributable to a decrease in earnings and a greater investment in working capital compared to last year as a result of the Canada Post strike.

Cash Flow From Financing Activities

Cash flow from financing activities was an outflow of $1.5 million for the second quarter compared to an outflow of $1.4 million in the prior-year period, due primarily to payment of a quarterly dividend in both periods.

Cash Flow From Investing Activities

Cash flow from investing activities was an outflow of $34.5 million for the second quarter compared to an outflow of $14.7 million in the prior-year period, as a result of increased capital expenditures.

Capital expenditures for the second quarter were $34.1 million compared to $14.6 million in the prior-year period, primarily due to an investment in the new bakery facility in Hamilton, Ontario. Year-to-date capital expenditures for the first six months of 2011 were $63.6 million compared to $22.1 million last year.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at June 30, 2011 approximately $6.7 million (2010: $2.0 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. As at June 30, 2011, the Company has recorded an allowance for doubtful accounts of $2.5 million (2010: $1.9 million). Average accounts receivable days sales outstanding for the quarter are higher than historic trends as a result of the Canada Post strike. There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Full Year
Sales [(i)]	**2011**	**$ 371,760**	**$ 406,245**			
	2010	381,932	402,062	$ 411,364	$ 393,079	$ 1,588,437
	2009	413,125	435,918	424,555	432,190	1,705,788
Net earnings (loss) [(i)]	**2011**	**$ (966)**	**$ 14,904**			
	2010	12,969	20,949	$ 13,980	$ 13,582	$ 60,975
	2009	14,882	22,537	25,050	15,009	77,478
Earnings (loss) per share						
Basic and diluted [(i)(ii)]	**2011**	**$ (0.04)**	**$ 0.59**			
	2010	0.51	0.82	$ 0.55	$ 0.54	$ 2.40
	2009	0.59	0.89	0.99	0.59	3.05
Adjusted EPS [(i)(ii)(iii)]	**2011**	**$ 0.56**	**$ 0.97**			
	2010	0.56	0.85	$ 0.85	$ 0.61	$ 2.85
	2009	0.60	0.89	1.00	0.70	3.20

(i) *The first and second quarters of 2011 and 2010 figures are in accordance with IFRS and the net earnings, earnings per share and adjusted earnings per share are based on amounts attributable to common shareholders. The remaining figures are in accordance with Canadian GAAP.*

(ii) *May not add due to rounding.*

(iii) *Refer to Non-IFRS Financial Measures on page 7.*

Quarterly sales and net earnings in 2011 were impacted by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sold in the U.S. and U.K.
- the sale of the fresh sandwiches product line in the Bakery Products Group at the beginning of 2011
- price increases implemented in the first half of 2011 in the Bakery Products Group, which increase overall bakery sales and offset higher commodity input costs in the second quarter of 2011; although price increases were not implemented in time to fully offset these costs in the first quarter of 2011
- lower sales volumes of fresh bakery products in the second quarter of 2011
- increased advertising and promotion spending as a result of the re-launch of the New York Bakery brand in the U.K.

- the appreciation of the Canadian dollar relative to the U.S. dollar which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lower ingredient costs
- pre-tax charges of $12.5 million ($9.7 million after-tax) in the second quarter of 2011 and pre-tax charges of $20.1 million ($15.1 million after-tax) in the first quarter of 2011 due to restructuring and other related costs
- an income tax reduction of $2.4 million associated with tax benefits arising from a prior acquisition in its fresh bakery business, which resulted in a lower tax rate on operating earnings in the first quarter of 2011.

Quarterly sales and net earnings in 2010 were impacted by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sales in the U.S. and U.K.
- lower volumes mostly of frozen bakery products in the U.S. and U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar which reduces the cost of U.S. dollar priced ingredients and to a lesser extent, lower ingredient costs
- increased spending to maintain market share in a competitive Canadian retail environment.

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Disclosure Controls and Internal Controls Over Financial Reporting

There have been no changes in the Company's internal control over financial reporting during the period beginning on January 1, 2011 and ended on June 30, 2011 that have materially affected, or are reasonably likely to materially affect, its internal control over financial reporting.

International Financial Reporting Standards

The Company's audited consolidated financial statements for the year ending December 31, 2011 will be the first audited annual consolidated financial statements that comply with IFRS. Accordingly, the Company will make an unreserved statement of compliance with IFRS beginning with its 2011 annual consolidated financial statements. This quarter represents the second time that the Company has reported its earnings under IFRS.

The accounting policies set out in Note 3 of the Unaudited Condensed Consolidated Interim Financial Statements have been applied in preparing the financial results for the quarter ended June 30, 2011. The comparative information presented in these consolidated financial statements for the quarter ended June 30, 2010, and the consolidated balance sheets at December 31, 2010 have all been revised to reflect earnings and financial position presented in accordance with IFRS.

First-time adopters of IFRS must apply the provisions of IFRS 1 *First-time Adoption of International Financial Reporting Standards.* IFRS 1 requires adopters to retrospectively apply all effective IFRS standards as of the annual reporting date with certain optional exemptions and certain mandatory exceptions. These elections are more fully outlined in Note 13 of the Unaudited Condensed Consolidated Interim Financial Statements for the quarter ended March 31, 2011.

Significant Accounting Policies

Accounting Standards Not Yet Adopted

Financial Instruments – Recognition and Measurement

In October 2010 the IASB published amendments to IFRS 9 (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2013, with early adoption permitted. For annual periods beginning before January 1, 2013, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Instruments – Disclosures

In October 2010, the IASB issued amendments to IFRS 7 *Disclosures – Transfers of Financial Assets.* These amendments require disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. These amendments are effective for annual periods beginning on or after January 1, 2012 and therefore the Company will apply these amendments in the first quarter of 2012. The Company is currently assessing the impact of these amendments on its financial statements.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*, which is effective for annual periods beginning on or after January 1, 2013, with early adoption permitted. IFRS 10 provides a single model to be applied in the control analysis for all investees. The Company intends to adopt IFRS 10 in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 10 has not yet been determined.

Disclosure of Interests in Other Entities
In May 2011, the IASB issued IFRS 12 *Disclosure of Interest in Other Entities*, which is effective for annual periods beginning on or after January 1, 2013, with early adoption permitted. IFRS 12 contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities. The Company intends to adopt IFRS 12 in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 12 has not yet been determined.

Fair Value Measurement
In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 13 has not yet been determined.

Presentation of Financial Statements
In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements: Presentation of Items of Other Comprehensive Income*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. The amendments require that a company present separately the items of Other Comprehensive Income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt the amendments in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of the amendments has not yet been determined.

Employee Benefits
In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits*. Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment will require actuarial gains and losses to be recognized immediately in other comprehensive income, past service costs to be fully recognized immediately in profit or loss and the recognition of expected return on plan assets in profit or loss to be calculated based on the rate used to discount the defined benefit obligation. The amendment also requires other additional disclosures. The Company intends to adopt the amendment in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of the amendment has not yet been determined.

Non-IFRS Financial Measures
The Company uses the following non-IFRS measures: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-IFRS measures provide useful information to both management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings
The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under IFRS in the Unaudited Consolidated Interim Statements of Earnings for the three- and six-month periods ended as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and other income (expense) are not representative of operational results.

(Unaudited)	Three months ended June 30, 2011		
($ thousands)	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 14,904
Income taxes			7,388
Earnings from operations before income taxes			**$ 22,292**
Interest expense			264
Earnings from operations before interest and income taxes	**$ 30,760**	**$ (8,204)**	**$ 22,556**
Other income	—	—	—
Restructuring and other related costs	2,451	10,096	12,547
Adjusted Operating Earnings [(i)]	**$ 33,211**	**$ 1,892**	**$ 35,103**

(i) *May not add due to rounding.*

(Unaudited)	Three months ended June 30, 2010		
($ thousands)	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 20,949
Income taxes			8,137
Earnings from operations before income taxes			**$ 29,086**
Interest expense			875
Earnings from operations before interest and income taxes	**$ 27,594**	**$ 2,367**	**$ 29,961**
Other income	(55)	—	(55)
Restructuring and other related costs	215	590	805
Adjusted Operating Earnings [(i)]	**$ 27,754**	**$ 2,957**	**$ 30,711**

(i) *May not add due to rounding.*

(Unaudited)	Six months ended June 30, 2011		
($ thousands)	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 13,938
Income taxes			4,767
Earnings from operations before income taxes			**$ 18,705**
Interest expense			603
Earnings from operations before interest and income taxes	**$ 39,228**	**$ (19,920)**	**$ 19,308**
Other income	(78)	—	(78)
Restructuring and other related costs	12,046	20,551	32,597
Adjusted Operating Earnings [(i)]	**$ 51,196**	**$ 631**	**$ 51,827**

(i) *May not add due to rounding.*

(Unaudited)	Six months ended June 30, 2010		
($ thousands)	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 33,918
Income taxes			13,203
Earnings from operations before income taxes			**$ 47,121**
Interest expense			1,856
Earnings from operations before interest and income taxes	**$ 47,582**	**$ 1,395**	**$ 48,977**
Other income	(127)	—	(127)
Restructuring and other related costs	1,228	1,281	2,509
Adjusted Operating Earnings [(i)]	**$ 48,683**	**$ 2,676**	**$ 51,359**

(i) *May not add due to rounding.*

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under IFRS in the Unaudited Consolidated Interim Statements of Earnings for the three- and six-month periods ended as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

(Unaudited)	Three months ended June 30,		Six months ended June 30,	
($ per share)	**2011**	2010	**2011**	2010
Basic earnings per share	**$ 0.59**	$ 0.82	**$ 0.55**	$ 1.34
Restructuring and other related costs [(i)]	**0.38**	0.02	**0.98**	0.07
Adjusted Earnings per Share [(ii)]	**$ 0.97**	$ 0.85	**$ 1.53**	$ 1.41

(i) *Includes per share impact of restructuring and other related costs, net of tax.*
(ii) *May not add due to rounding.*

Net Debt

The following table reconciles net debt as disclosed in this Management's Discussion and Analysis to IFRS amounts in the Unaudited Consolidated Interim Balance Sheets as at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

Unaudited)	As at June 30,	As at June 30,	As at March 31,
($ thousands)	**2011**	**2010**	**2011**
Bank indebtedness	**$ —**	$ 8,071	$ —
Current portion of long-term debt	**2,323**	—	2,329
Long-term debt	**1,675**	2,420	1,652
Subtotal	**$ 3,998**	$ 10,491	$ 3,981
Cash and cash equivalents	**(20,671)**	(88,875)	(51,847)
Net Debt (cash)	**$ (16,673)**	$ (78,384)	$ (47,866)

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends, expected duplicative costs incurred during 2011 due to the concurrent operation of the new Hamilton fresh bakery and existing bakeries, the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, and expectations regarding sufficiency of the allowance for uncollectible accounts. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with implementing and executing the Company's business value creation plan;
- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the impact of international events on commodity prices and the free flow of goods;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to business acquisitions and capital expansion projects;
- the risks posed by compliance with extensive government regulation;
- the risks posed by litigation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks associated with the Company's independent distributors; and
- the risks posed by competition.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2010 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2010 sales of $1.6 billion and employs approximately 7,500 people at its operations across North America and in the United Kingdom.